

WEEK 1

Credit

How borrowing works — and how to build a file that works for you.



Wins & Questions

1

Anything new you did with money this week — opened an account, paid something off, a purchase decision?

2

Something interesting you learned about money or finance?

3

A new investment you're looking at or like right now?



Pick your path

M1	Credit 101 — what it is & its types		6 min
M2	The cost of credit — interest & APR		7 min
M3	Credit scores & what moves them		8 min
M4	Your report, inquiries & your rights		5 min
M5	Building credit from scratch	most actionable	7 min
M6	Borrowing with others & qualifying		5 min
M7	Credit beyond you — bond ratings	deep dive	8 min

M1

Credit 101

What credit actually is — and the two distinctions that explain everything else.

6 min



What credit actually is

Credit = access to money or goods now, in exchange for a promise to repay later — almost always with interest.

- Two broad worlds: consumer credit (you) and business / institutional credit (companies, governments).
- A line of credit makes a set amount available to draw on as needed — not handed over all at once.
 - Credit card, HELOC, personal line, overdraft line, securities-backed lending
- The consumer staples: car loans, mortgages, personal loans, lines of credit, and Buy Now Pay Later (BNPL).



Two shapes credit takes

Revolving

no end date — borrow, repay, reuse

- Credit cards, HELOCs, lines of credit
- Available credit replenishes as you pay down
- A credit limit caps how much you can borrow
- Utilization is what shows up on your score

Installment

fixed term, fixed end date

- Mortgages, auto, personal & student loans
- A set number of equal payments
- Ends on a scheduled payoff date
- Builds steady payment history

What your score cares about: revolving balances drive utilization; installment loans build payment history.



Secured vs. unsecured

Secured

backed by collateral

- Mortgage, auto, HELOC, secured card
- Lower APR — the lender can recover losses
- Default → repossession / foreclosure
- A lien is the lender's claim until you repay

Unsecured

no collateral, just your promise

- Most cards, personal & student loans
- Higher APR — recourse is collections & courts
- Default → charge-off after ~120–180 days
- Charge-offs & repos stay on file 7 years

Same \$12,000 used car: ~\$2,440 interest as a secured auto loan (7.52%) vs. ~\$3,800 unsecured (11.40%) — a ~\$1,360 premium for not pledging the car.



Payday & title loans, defined

Two short-term, high-cost loans worth knowing by name — and the watchdog that tracks them.

- Payday loan — a small loan due in full on your next payday (about two weeks).
 - You leave a post-dated check or authorize a debit for the amount plus a fee, often \$15 per \$100 borrowed
- Single-payment car-title loan — you pledge your car's title as collateral and repay in one lump sum.
 - You keep driving the car, but the lender can repossess it if you miss the payment
- CFPB — the Consumer Financial Protection Bureau, the U.S. government's consumer-finance watchdog.
 - A federal agency created after the 2008 crisis; it publishes the research behind the next slide



A 'small' fee, a triple-digit APR

~391%

true APR on a typical payday loan

\$15 per \$100, due in 14 days

~300%

APR on a single-payment car-title loan

~\$700 borrowed

1 in 5

single-payment title-loan borrowers have the car repossessed

CFPB

M2

The cost of credit

Interest, APR, and why the minimum payment is the most expensive way to repay.

7 min



APR, the periodic rate & APY

APR (Annual Percentage Rate) is the yearly price of borrowing — but it isn't quite what you actually pay.

- Card interest is applied by a periodic rate, then compounds daily.
 - Daily periodic rate (DPR) = $\text{APR} \div 365$ — a 21.52% APR $\approx$ 0.059% a day
- APR is nominal — it ignores compounding. APY includes it.
- Because card interest compounds daily, the effective rate beats the sticker APR.
 - 21.52% APR $\rightarrow$ $\sim$ 24.0% effective APY



The grace period — and why your rate moves

Pay the statement balance in full by the due date and new purchases cost \$0 in interest.

- Carry any balance and you lose the grace period — interest then hits old and new purchases alike.
- Almost all card APRs are variable: Prime + a margin set by your credit.
 - Prime = 6.75% today; a 'Prime + 17.25%' card = 24.00% APR
- One card holds several APRs — purchase, balance transfer, cash advance, penalty. Cash advances get no grace period.



The minimum-payment trap

A \$1,500 student-card balance at 24% APR, paying only the minimum ($\approx$ 1% of balance + interest).

- First payment $\approx$ \$45 — about \$30 is pure interest, only $\sim$ \$15 touches principal.
- Result: $\sim$ 6.7 years to clear it and $\sim$ \$1,400 in interest — nearly doubling what you borrowed.
 - Total repaid $\approx$ \$2,940
- Pay a fixed \$100/month instead $\rightarrow$ gone in $\sim$ 18 months with $\sim$ \$300 interest.



0% intro APR vs. deferred interest

True 0% intro APR

what it sounds like

- Interest is genuinely \$0 during the promo
- When it ends, the normal APR hits only what's left
- Never charged retroactively

Deferred interest

'no interest if paid in full' — store cards

- Interest accrues from day one
- Waived only if you clear the full balance in time
- Miss it → all the back interest, to the purchase date

Balance transfers usually cost a 3–5% fee up front — and only the transferred balance gets the 0%.

M3

Credit scores & what moves them

FICO, VantageScore, and the five things that actually move the number.

8 min



Where Americans actually fall

Bar **height** = share of Americans in the range; bar **width** = how wide that score band is. A slice has no score at all.

FICO



VantageScore

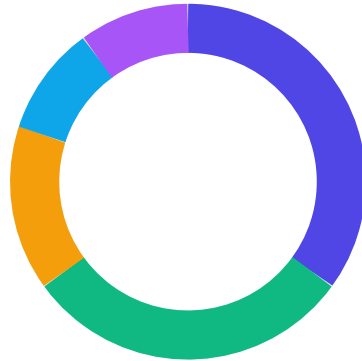


FICO bands: Experian, 2025 · VantageScore bands: LendingTree / VantageScore, 2024 · Credit-invisible: CFPB. Heights are approximate shares.



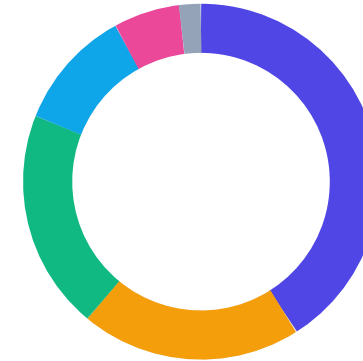
What moves each score

FICO



- **35%** Payment history
- **30%** Amounts owed (utilization)
- **15%** Length of history
- **10%** New credit
- **10%** Credit mix

VantageScore 4.0

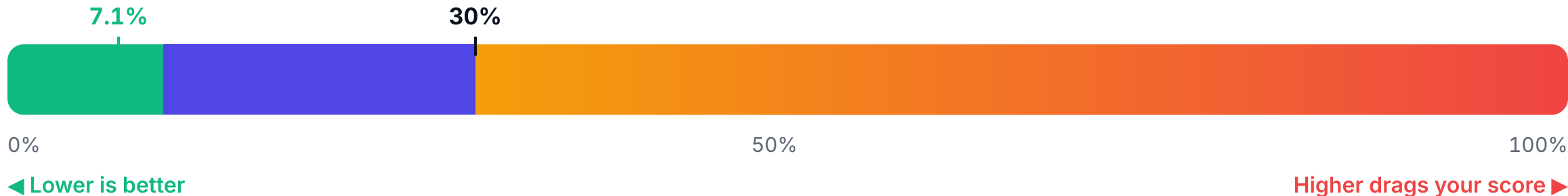


- **41%** Payment history
- **20%** Depth of credit
- **20%** Credit utilization
- **11%** Recent credit behavior
- **6%** Total balances
- **2%** Available credit

Both are dominated by **payment history** and **utilization** — the two habits you control.



Keep your utilization low



Per-card AND overall

Maxing one card hurts even if your total use is low.

It reads the statement

Pay before the statement cuts so a low number reports.

\$1,000 of \$5,000

= 20% utilization. Simple ratio, big effect.



FICO vs. VantageScore

FICO

the lender default

- Range 300–850; FICO 8 most widely used
- Needs an account 6+ months old & active
- FICO 8 still counts paid & medical collections
- Mortgages use classic FICO 2 / 5 / 4

VantageScore

scores thinner files

- Range 300–850; 4.0 is the published model
- Scores you with ~1 month of history
- Ignores medical AND paid collections
- Uses trended data — direction of balances, not a snapshot

Same person, many scores — they vary by bureau, model, and loan type. Know which one a given lender pulls.



The score a lender pulls is older than the newest model

There isn't one score — and the newest version usually isn't the one being used.

- FICO 8 (2009) is still the most-used version for everyday lending.
 - FICO 10 / 10T added trended data in 2020 but lag in adoption
- Mortgages run on classic models by bureau: FICO 2 (Experian), 5 (Equifax), 4 (TransUnion).
- Modernization is phased: Fannie Mae & Freddie Mac now allow VantageScore 4.0; FICO 10T is validated but not yet in use.
 - Fannie & Freddie — government-sponsored companies that buy most U.S. mortgages and set the rules lenders must follow

M4

Your report, inquiries & your rights

What's in your file, how long it lasts, and the free tools you already have.

5 min



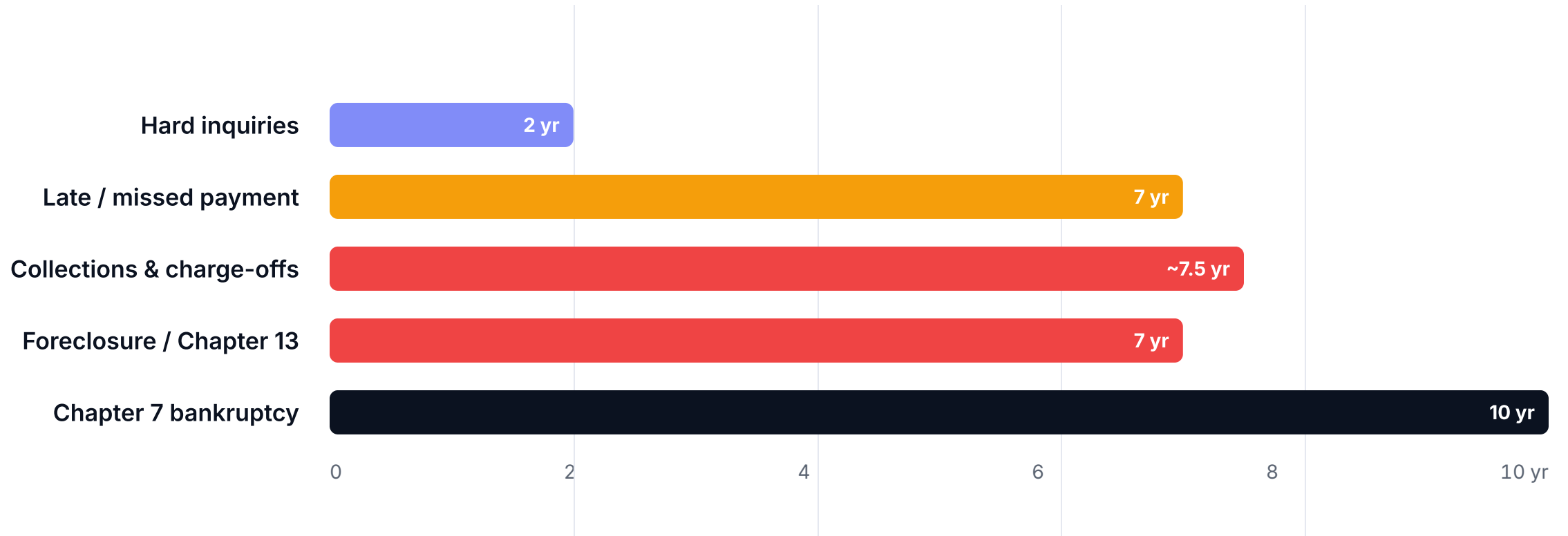
Report vs. score — and who keeps it

Your credit report is the record; your score is a single number calculated from it.

- Three bureaus each hold a separate report: Experian, Equifax, TransUnion.
 - Lenders 'furnish' data voluntarily — so an account can show on one bureau and not another
- Inside the report: your info, every account (tradeline), inquiries, public records, and collections.
- AnnualCreditReport.com is the only federally authorized site — now free weekly from all three.
 - These are reports, not scores — the number comes from a card app, bank, or paid service



How long it stays on your report



Paying a collection marks it **paid** — it does not reset the 7-year clock.



Freeze vs. fraud alert vs. lock

Credit freeze

free, by federal law

- Blocks new creditors from pulling your file
- On within 1 business day, off within 1 hour
- Doesn't affect your score
- Set it at all three bureaus

Fraud alert

free

- Doesn't block — forces lenders to verify you
- Initial alert lasts 1 year
- Extended (for victims) lasts 7 years
- Tell one bureau; it notifies the others

Credit lock

a paid bureau product

- Same effect as a freeze, by company terms
- Not governed by federal law
- CFPB: no more effective than a free freeze

Strongest free protection: a freeze at all three bureaus. A lock mostly sells you what the law already gives you.



Hard vs. soft inquiries — and rate shopping

The difference isn't what they see — it's whether you applied for new credit.

- Soft pull — checking your own score, prequalification, employer checks. No score impact, invisible to lenders.
- Hard pull — you apply and a lender pulls your file for a real decision. Recorded, visible, a small temporary hit.
- Rate shopping: batch a mortgage / auto / student search into a short window and it counts as one inquiry.
 - FICO 8+ uses ~45 days; VantageScore & older FICO use 14 days

M5

Building credit from scratch

The starter products that build a file from nothing — most actionable for students.

7 min



The no-credit catch-22

Lenders want a track record before they'll extend credit — but you can't build one without credit.

- ~2.7% of adults (~7 million) are 'credit invisible' — no file at all; more are 'unscored'.
 - A file too thin or stale for a model to score
- The way out is the scoring minimum: VantageScore needs ~1 month of history; FICO needs 6.
 - So you'll usually earn a VantageScore before a FICO Score
- Step 0 is free: pull your file at AnnualCreditReport.com to see whether you're invisible or just thin.



Six ways to start a file

Student credit card

No deposit, no history needed — and it can earn rewards.

Best for 18+ with income

Secured credit card

Your cash deposit becomes your credit line.

Best for no / thin credit

Authorized user

Ride a trusted person's aged, low-use card.

Best for a fast head start

Credit-builder loan

You pay first; the money is released at the end.

Best for no existing debt

Rent & utility reporting

Make bills you already pay count toward credit.

Best for renters

Federal student loans

An installment tradeline with no hard inquiry.

Best for enrolled students

Each only helps if it reports to the bureaus — and rent counts only in newer score models. Verify before you rely on it.



Small habits, real point swings

+24 pts

median gain — secured card kept
open 2 years

CFPB / Federal Reserve

+60 pts

typical gain from reporting on-time
rent

TransUnion

−60 pts

median drop if you default on a
secured card

CFPB / Federal Reserve



From starter card to the real thing

A simple sequence that turns six months of discipline into an unsecured card and a real file.

- Start with a student card if eligible, otherwise a secured card that reports to all three bureaus.
- Keep utilization under ~30% (ideally under 10%) and pay on time, every time.
- After ~6–18 months many issuers upgrade you to unsecured and refund the deposit.
 - Don't close your first card — its age anchors your average account age

M6

Borrowing with others & qualifying

Joint credit, co-signers, and the debt-to-income test your score never sees.

5 min



Four ways to share credit

Authorized user

Uses the account, but carries no legal liability.

Can use it

Yes

Liable

No

Co-signer

100% responsible — but gets no access to the credit.

Can use it

No

Liable

Yes

Co-borrower

Full responsibility and full access to the credit.

Can use it

Yes

Liable

Yes

Joint account

Owned and owed by both; reports once per name.

Can use it

Both

Liable

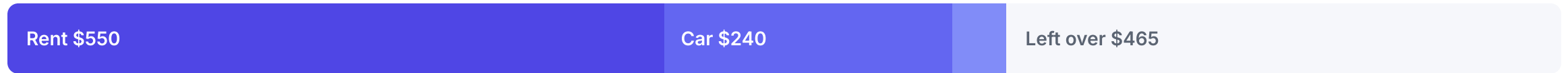
Both

On joint applications, some lenders use the **lower** of the two borrowers' middle scores.



A student applies for a car loan

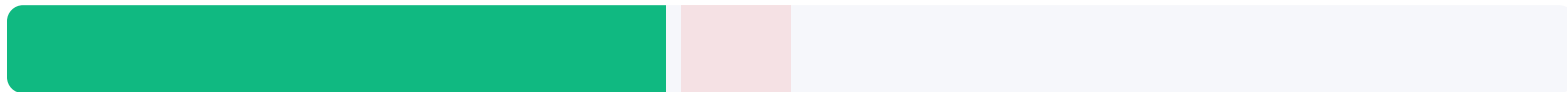
Gross income \$1,300 / month — where it goes



Thin sliver = \$45 card minimum

Front-end ratio

housing ÷ income



42%

Back-end ratio

all debt ÷ income



64%

Shaded band = most lenders' ~43–50% back-end ceiling. At 64%, this borrower needs a co-signer or a cheaper car.



Why a 760 score can still be denied

Your score measures willingness to repay; DTI measures capacity — and lenders check both.

- Income isn't on your credit report, so DTI can't enter your score — but it drives loan approval.
- Rules of thumb: the 28/36 rule; $\leq 36\%$ back-end is comfortable, $\sim 50\%$ is the practical ceiling.
 - Conventional underwriting allows up to 50%; FHA up to $\sim 50\%$ with compensating factors
- Deferred student loans hit your DTI the day you graduate — often the line that tips a new grad over a mortgage limit.

M7

Credit beyond you — business & bond ratings

The same logic, scaled up to companies and countries. Optional deep dive.

8 min



Credit, but for companies

Businesses have their own bureaus, scores, and a file separate from the owner's.

- Three business bureaus: Equifax, Experian, Dun & Bradstreet. Scores often run 0–100 (D&B PAYDEX).
 - FICO's small-business SBSS runs 0–300; negative data can linger ~9 years, 9 months
- A bad business score means suppliers demand pay-in-advance — or walk away entirely.
- Start one cleanly: form an LLC, get an EIN, open business bank accounts, and use vendors that report.



Investment grade vs. junk

INVESTMENT GRADE

funds can hold

AAA / Aaa prime

AA / Aa high grade

A / A upper-medium

BBB- / Baa3 lower-medium · IG floor

HIGH YIELD · 'JUNK'

many funds must avoid

BB+ / Ba1 speculative · HY top

B / B highly speculative

CCC / Caa substantial risk

CC-C / Ca extreme risk

D in default

The cliff: one notch — **BBB- / Baa3** → **BB+ / Ba1** — flips a bond to junk and can force funds to sell.



What a rating actually predicts

Rating	1 - year	5 - year	10 - year default rate
AAA	0.00%	0.35%	0.76%
AA	0.02%	0.30%	0.81%
A	0.05%	0.55%	1.90%
BBB · IG floor	0.16%	1.83%	4.40%
BB · HY top	0.62%	7.14%	14.53%
B	3.27%	18.23%	27.79%
CCC / C	28.30%	47.30%	54.24%

One notch, BBB → BB, roughly **4x's** the 1-year default rate. The cliff at the IG/HY line is real. S&P, 1981–2024



Ratings set yields — and once set them on fire

A rating drives the credit spread — the extra yield a bond pays over a same-maturity Treasury.

- Lower grade → higher spread. Mid-2026: IG ~0.74%, BB ~1.56%, CCC & lower ~9.47% over Treasuries.
 - A fat spread is pay for real default risk — not free money
- Issuer-pays conflict: since the 1970s the bond issuer pays for its own rating, inviting 'ratings shopping'.
- 2008: agencies stamped mortgage bonds AAA, then mass-downgraded them — 73% of 2006's AAA were junk by 2010.



Moody's strips the U.S. of its last AAA rating

Downgraded Aaa → Aa1 — the last of the Big Three to cut the U.S. from top tier, a status it had held since 1917.

▲ **5.01%**

30-yr Treasury yield, intraday

▲ **6.81→6.89%**

30-yr mortgage, two weeks after

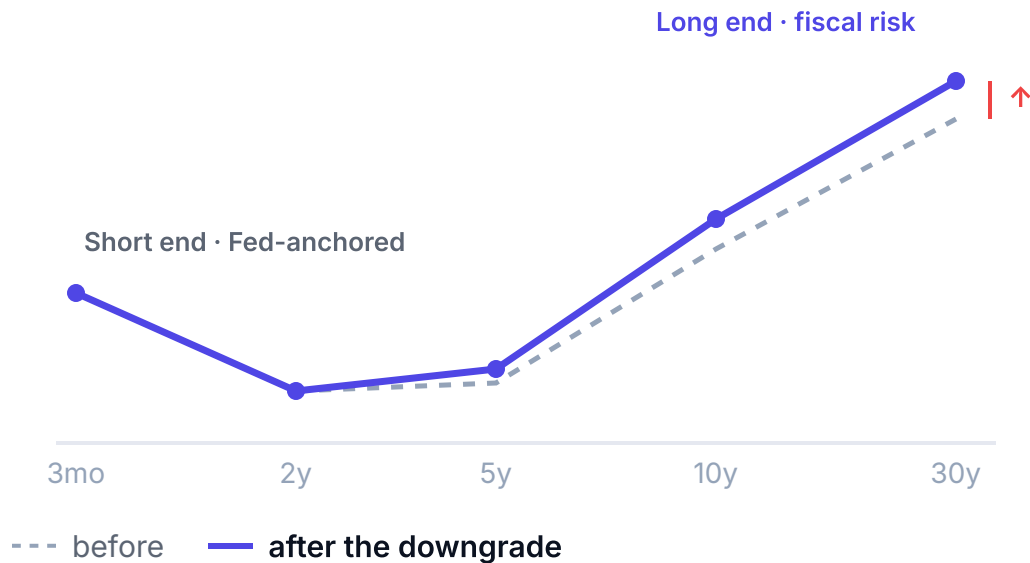
~**20.1%**

average credit-card APR

Moody's · Freddie Mac · LendingTree



What moved — and what didn't



30-yr mortgage

6.81 → 6.89%

+8 bps in two weeks — it tracks the 10-yr Treasury (the long end).

Credit-card APR

~20.1%

Barely moved — cards track Prime / the Fed (the short end).

WHAT A RATE MOVE COSTS

\$400,000 · 30-year loan

+0.25%

rate



+\$67

per month



+\$24,000

over the loan

A sovereign downgrade lifts the long end, so the curve **steepens** — mortgages move, cards don't.



A sovereign credit rating is just a credit score for a country.

The tie-in

Aaa → Aa1 is like slipping from an 820 to ~790 — still excellent, no longer perfect.

Talk it through

- 1 A country and a person get downgraded for the same reason — too much debt vs. income, and no track record of fixing it. What's the personal-finance version of 'debt at 134% of GDP'?
- 2 All three agencies now rate the U.S. below top tier, yet markets shrugged. Does a rating still matter if markets ignore it — and when would it suddenly matter a lot?
- 3 Your mortgage rate is set partly by a number you don't control (the 10-yr Treasury) and one you do (your credit score). Buying in 18 months — which lever do you actually pull?

Sources



Compound Money Talk

SCORES & REPORTS

myFICO — what's in your score

VantageScore — 5.0 / 4.0 weights

CFPB — report vs. score, disputes, freeze

FTC — free weekly reports

Experian — utilization, FICO 9

RATES & BUILDING CREDIT

Federal Reserve G.19 — consumer credit

Freddie Mac PMMS — mortgage rates

Federal Reserve — credit-building products (2024)

CFPB — payday & title loans, DTI

RATINGS & THE DOWNGRADE

S&P 2024 default study

FRED — ICE BofA credit spreads

Moody's — U.S. rating action

Fidelity — bond ratings